



IPO Note

LAXMI INDIA FINANCE LIMITED

JUL 29, 2025





Jul 29, 2025

Details of the Issue

Price Band	₹ 150 - ₹ 158
Issue Size	₹ 254.26 Cr
Face Value	₹ 5
Bid Lot	94
Listing on	BSE, NSE
Post Issue Mcap	₹ 825.83 Cr
Investment Range	₹ 14,080 - ₹ 14,850

Important Indicative Dates (2025)

Opening	29 - Jul
Closing	31 - Jul
Basis of Allotment	01 - Aug
Refund Initiation	04 - Aug
Credit to Demat	04 - Aug
Listing Date	05 - Aug

Lead Manager

PL Capital Market Pvt Ltd

Offer Details

Offer Size	₹ 254.26 Cr
Fresh Issue	₹ 165.17 Cr
OFS	₹ 89.09 Cr

Type	In Rs Cr	No of Shares (Mn)		% of Issue
		Upper	Lower	
QIB	127	8.05	8.47	75
NII	38	2.41	2.54	15
Retail	89	5.63	5.93	10
Em- ploy.	-	-	-	-
Total	254	16.09	16.95	100

Invest Now**Company Profile**

Laxmi India Finance Limited is a Non-Banking Financial Company (NBFC) focused on providing secured lending solutions such as MSME loans, vehicle loans, and construction loans. The company supports small businesses and entrepreneurs, with over 80% of MSME loans qualifying as Priority Sector Lending. Its MSME finance includes loans from ₹0.05 million to ₹2.5 million against property with up to 84-month tenure, while vehicle loans cover commercial vehicles, two-wheelers, and tractors. Construction loans are extended to retail customers for property construction or renovation, with interest rates ranging from 18%-28%. As of March 31, 2025, it had an AUM of ₹12,770.18 million, with MSME and vehicle loans accounting for 76.34% and 16.12% respectively, and a growing customer base of 35,568—up 48.78% YoY—including 37.10% first-time borrowers. Operating 158 branches across Rajasthan, Gujarat, Madhya Pradesh, and Chhattisgarh, it sources funds from 47 lenders, including public and private banks, small finance banks, and NBFCs.

GEPL's Insights & Investment Thesis:

- Laxmi India Finance Ltd is an NBFC with focus on providing lending solutions to MSMEs, Vehicle loans, and construction loans. MSME loans contributed 76% of its AUM and 81% to the revenue in FY2025.
- The company has a geographic concentration risk as 80% of its AUM comes from Rajasthan itself. Over the last three fiscal years, the company's Net NPA rose from 0.32% in FY2023 to 0.48% in FY2025, indicating a notable deterioration in asset quality.
- Based on the FY25 book value, relative to the company's post-IPO paid up capital, the issue is priced at a P/B ratio of 2.57x. We believe that the company the company faces geographical concentration risk and its NPA has also increased over the last three years. Therefore, we recommend a **"Avoid"** rating for the issue.

Business Highlights & Services

Laxmi India Finance Ltd has strong foothold in the underpenetrated MSME lending segment, which accounted for 76.34% of its AUM and 80.96% of revenue in FY25. Backed by secured, small-ticket loans with a low average LTV of 43.79%, the company mitigates credit risk while serving 18,596 MSME customers, primarily micro enterprises. With the MSME sector witnessing formalisation, digitisation, and a growing credit demand unmet by traditional banks, Laxmi is well-positioned to capitalise on this structural credit gap. Supported by a 27% AUM CAGR for NBFCs in FY21-24 and projected 20-22% growth through FY27 (CARE Report), the company's tech-enabled underwriting, domain expertise, and deep rural penetration provide a scalable platform. Continued investments in digital capabilities and branch expansion further enhance its ability to tap into India's expanding MSME ecosystem.

The company's well-diversified funding base and strong lender relationships enable it to secure cost-effective capital, reflected in a declining borrowing cost (12.24% in FY23 to 12.02% in FY25) despite rising rates. With 80% repeat funding, a 7.2% YoY increase in credit limits from top lenders, and 87.78% promoter holding with regular capital support, the company enjoys strong financial backing. A healthy capital adequacy ratio of 20.80% and conservative ALM practices further enhance stability. Its ability to raise funds during crises and leverage securitization boosts liquidity and supports margin expansion, positioning it well for sustained, profitable growth.



Laxmi India Finance Ltd's strong credit assessment and risk management framework underpins its superior asset quality and positions it well for sustainable growth in underserved markets. With 98.81% of its loan book secured and an average LTV of 43.79% in MSME loans, the company effectively mitigates default risk. Its robust underwriting process combining digital tools, multi-level due diligence, and on-ground verification—enables informed lending decisions, even for borrowers lacking formal income proof. A CIBIL score above 650 for 49.31% of secured customers and negligible loan write-offs (0.33% in FY25 vs 0.22% in FY23 as % of AUM) reflect the quality of its portfolio. FY25 GNPA and NNPA of 1.07% and 0.48%, respectively, are among the best in the peer group, showcasing prudent risk management. With localized credit teams, co-borrower mandates, and digital LOS integration, Laxmi is well-equipped to scale while maintaining asset quality.

Laxmi India Finance Ltd's expanding branch footprint and focused cross-sell strategy offer strong levers for scalable, profitable growth. Operating 158 branches across 83 districts in 5 states with 30% average district-level penetration, the company continues to tap under-penetrated regions with a data-driven, phased expansion approach. Growth is further supported by rising NBFC credit demand, especially in MSME and vehicle lending. Laxmi's cross-sell strategy—targeting existing customers with complementary products—enhances wallet share, boosts customer retention, and reduces acquisition costs. With a gross loan portfolio per branch of ₹80.82 million as of FY25, the company aims to scale through deeper penetration, higher ticket sizes for low-risk customers, and operational synergies. The strategy also mitigates risk through asset diversification and supports margin expansion, making Laxmi a well-positioned player for sustained growth in India's evolving credit landscape.

The company is focus on optimizing its cost structure and expanding through both organic and inorganic routes strengthens its long-term growth outlook. The company has consistently reduced its average cost of borrowing from 12.24% in FY23 to 12.02% in FY25, despite a rising interest rate environment, reflecting improved creditworthiness and strong lender relationships. Its diversified funding mix—including securitized loans, NCDs, and direct assignment transactions—supports capital efficiency and lowers funding risk. A disciplined asset-liability management strategy further ensures financial stability. Additionally, the recent acquisition of a retail loan portfolio worth ₹533.34 million expands customer reach and enhances scale in the retail segment, aligning with its strategy to strengthen and diversify the loan book. These initiatives collectively position Laxmi to sustain margin expansion and accelerate growth while maintaining financial prudence.

KPIs of MSME Portfolio

Particular	FY25	FY24	FY23
AUM(in Cr)	975	711	523
Sanctioned MSME Loans	12,018	8,702	6,329
Disbursements (in Cr)	531	350	239
Average ticket size (in million)	1	1	1
Average tenure (in months)	66	68	72
Average yield (in %)	22	22	21
LTV Ratio	44	44	44

Low written off Loans led to Stable Asset Quality

Particular (INR in Cr)	FY25	FY24	FY23
Written off loans	4.22	2.46	1.38
Bad debts recovered	-1.45	-1.43	-1.63
Net written off amount after considering bad debts recovered	2.77	1.03	-0.25
AUM	1,277	961	687
Percentage of written off loans to AUM (%)	0.33	0.26	0.20



Sources of Funds

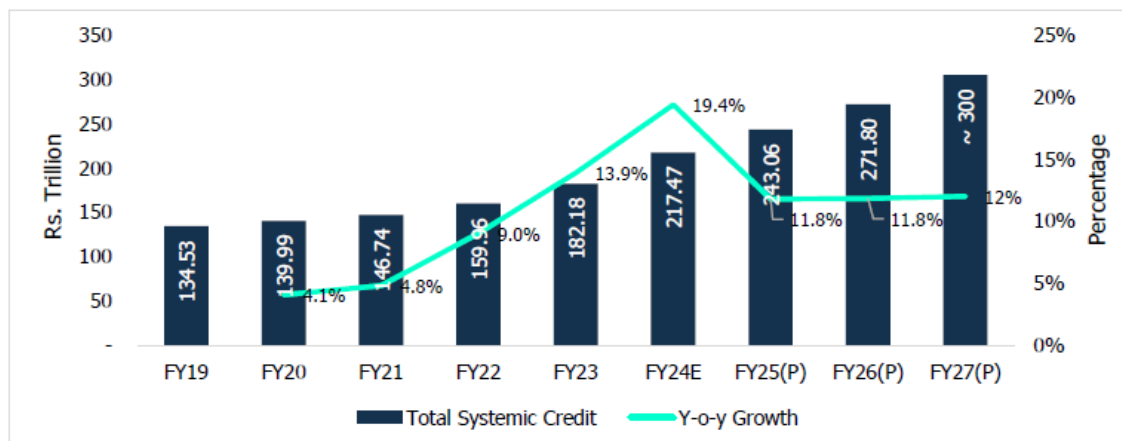
Particular (INR in Cr)	FY25		FY24		FY23	
	No of Leanders	Amt (in Cr)	No of Leanders	Amt (in Cr)	No of Leanders	Amt (in Cr)
Public sector banks	8	231	7	192	7	165
Private banks	10	250	10	175	7	123
Small finance banks	7	195	5	78	5	67
NBFCs and Financial institutions	22	461	21	322	22	261

Business Verticals Details

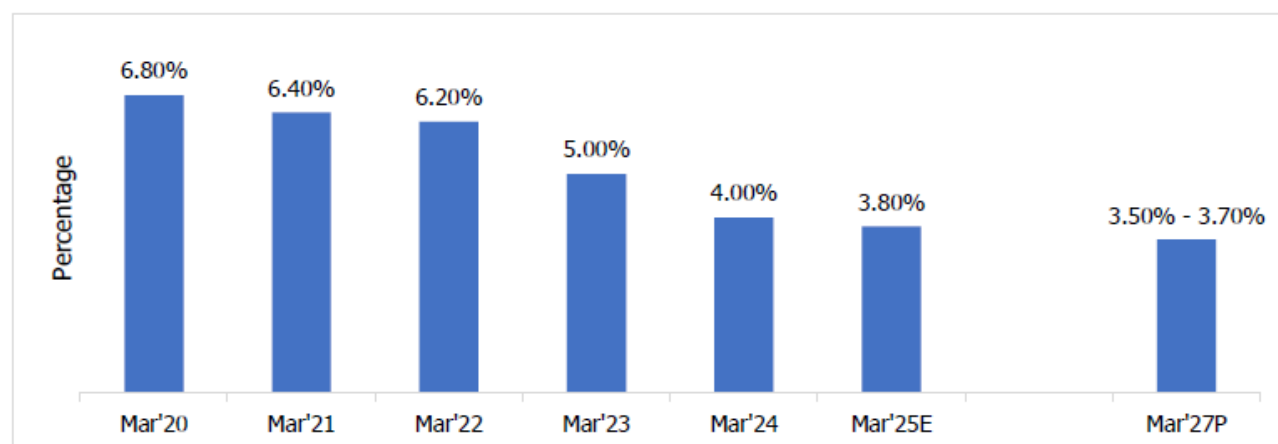
Particular (INR in Cr)	FY25	FY24	FY23
MSME Loans	1,860	1,446	1,051
Vehicle Loans	1,242	571	391
Construction Loans	230	175	150
Others	225	199	93
Totals	3,557	2,391	1,685

Industry Overview

Systemic Credit



Asset Quality of NBFC



Source: RBI, CareEdge Research, Note: P indicates projected



Peers Comparisons

Name of the company	Face Value (₹)	PAT (INR in Cr)	EPS	RONW (₹)	NAV (₹)	P/B
Laxmi India Finance Ltd	5	35.9	8.78	15.66	61.57	NA
Peers Group						
MAS Financial Services Ltd	10	320	17.48	14.71	143	2.08
Five Star Business Finance Ltd	1	1,070	36.5	18.6	214	3.52
SBFC Finance Ltd	10	340	3.15	11.39	29	3.68
Ugro Capital Limited	10	151	14.71	8.68	222	0.77
CSL Finance Limited	10	72	31.29	14.18	241	1.37
AKME Fintrade (India) Ltd	10	34	8.28	11.09	89	0.09
Moneyboxx Finance Ltd	10	1.1	0.39	0.53	79	2.33

Companies Competitive Strength

- Focus on MSME financing.
- Access to diversified sources of capital and effective cost of funds.
- Comprehensive credit assessment, underwriting and risk management framework.
- Deeper regional penetration in semi-urban and rural areas supported by a mix of direct and indirect sourcing channels.
- Hub and Branch model streamlines operations, reduces costs, and increases customer accessibility, driving business growth and market expansion.
- Experienced management with good corporate governance practices

Key Strategies Implemented by Company

- Expansion of geographical footprint to deepen the penetration in the target customer segment.
- Leveraging the existing branch and network of customers to drive growth in other verticals.
- Continuing to enhance information technology with a focus on customer service, operational efficiency and cost optimization.
- Diversify the borrowing profile and optimize the borrowing costs.
- Diversify our loan book.

Particular (INR in Cr)	FY25	FY24	FY23
Equity Capital	21	20	18
Reserves and Surplus	237	182	134
Net Worth	258	202	153
Net Interest Income	117	81	62
Growth (%)	43%	31%	
Operating Profit	164	115	86
PAT	36	23	16
PATM (%)	31%	28%	26%
Gross NPAs	12.18	5.97	3.33
Net NPAs	5.46	2.72	1.81
ROE (%)	13.9%	11.2%	10.5%



Notes

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